

MASTERING THE GREEN MARKETING CAMPAIGN

Built Green makes great economic and environmental sense, but the public wasn't buying it—until now.

by **BOB TABER**

What makes a prospective home buyer pay more for a green-built home? Our marketing firm, Thomas Taber & Drazen, was hired by Built Green Colorado to discover the answers to that question. Built Green, a non-profit promoting the building and buying of environmentally friendly homes in Colorado, wanted to increase the

better carpeting won out over recycled construction waste.”

“I don’t want my house built out of recycled scraps,” said a prospective new-home buyer in another group discussing attitudes toward Built Green. Clearly those perceptions were off the mark.

In 2003 just 10% of newly built homes were Built Green. “It just doesn’t pencil,” says one finance officer for a production builder that wasn’t building

homeowners said they would pay more money for a green home. Fewer than one in ten homeowners are committed to living a green lifestyle, according to Roper ASW in its 2002 *Green Gauge Report*. Is it just a coincidence that this number is equivalent to Built Green’s market share?

Roper found two additional consumer segments that care about the environment. The first of these was



CUT TO CLUBBY, STUFFY BUT LIKEABLE, MAN IN FORTIES SITTING ON FRONT PORCH OF HIS LOVELY HOME. HE SPEAKS. MAN: As a proud owner of a Built Green home, I’m here to tell them what a miserable job their public relations people are doing.

number of homes in Colorado that were built to the program standards. Through exhaustive market research, we found some unexpected and enlightening information.

Overcoming Negative Attitudes

In a 2003 focus group of recent new-home buyers, a thirty-something woman told us, “I wanted to get an environmentally responsible home, but



CUT TO CLOSE-UP OF MAN CRINGING, AS HE SPEAKS IN HUSHED TONES, AS THOUGH UTTERING A PROFANITY. MAN: Say ‘Built Green’ and all anyone can think of is environmentally friendly. Why it’s gotten so bad that the boys down at the club have taken to calling me a... tree hugger.

green. “What sounds like a cool deal comes down to dollars. The incremental cost isn’t worth it. There’s no perceived value.” Many builders believe that the added investment in materials, systems, and construction methods just doesn’t pay off because there’s no consumer demand for an eco-friendly home.

Indeed, most Americans say they won’t pay more for an environmentally friendly home. In a study conducted by the National Association of Home Builders in 2002, fewer than one in five



MAN: The fact is, I chose a Built Green home because it’s better built, and actually saves me money.

labeled the “Greenback Greens.” These are consumers who are willing and able to buy green, but who aren’t likely to give up comfort and convenience for the environment. The second consumer segment was labeled the “Sprouts.” These are consumers who evaluate each environmental issue on its merits and on their personal commitment to environmental stewardship.

In other words, these prospective homeowners want to know what’s in it for them. If they are going to spend an

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incremental 4%, say, on their new Built Green home, there must be a greater direct benefit to them than protecting the environment.

“The marketing challenge for Built Green was to build awareness, perceived value, and market share among new-home buyers,” said Kim Calomino, VP of Technical and Regulatory Affairs for the HomeBuilders Association of Metro Denver, and executive director for the Built Green program. “In true push/pull marketing strategy, prospective home buyers were going to have to demand Built Green homes to get more builders to embrace the program.”

Builders, when asked what it would take to get them to build green, felt that, ultimately, they’d have to be legislated into it. Said one builder, “Either buy me or the government has to shove it down my throat,” which is exactly what the Built Green program was created to prevent.

Some builders emphasized that the change must be consumer driven: Prospective home buyers must demand green-built homes from the builders. Other builders were convinced that green homes were a lost cause altogether, with one builder claiming, “you couldn’t spend enough to convince people to buy Built Green.”

The consumer insight that I discovered was that environmentally friendly homes, while seen as good for the environment, weren’t seen as being so good for the homeowner. Given home buyers’ perceptions that green-built homes were made from reused construction materials with carpeting from recycled soda pop bottles and shredded tires for insulation, prospective home buyers saw “environmentally friendly” to mean “lower quality.” We could sell “environmentally friendly” all day long and it would fall on deaf ears.

Advertising had to disrupt consumer perceptions about green-built homes. It had to shake, rattle, and roll the idea that environmentally friendly homes are lower quality and not worth the extra cost.

The program’s previous advertising had focused exclusively on the ways in which Built Green homes benefited the environment, instead of emphasizing the benefits that Built Green homes could offer homeowners and their families. This strategy simply wasn’t working. Paying

more to be environmentally friendly, when “my little family isn’t going to save the planet,” as one study participant put it, simply wasn’t selling Built Green homes.

Built Green is Built Better

Thomas Taber & Drazen conducted a qualitative research study to determine consumers’ attitudes towards Built Green homes. Study participants were a couple of dozen recent and prospective home buyers. Participants were shown seven concept statements. In a paragraph or two, each statement explored a distinct way of positioning the benefits of a Built Green home. Study participants were asked to give their responses to each statement:

1. A Built Green home is environmentally friendly.
2. The Built Green Certification is your assurance that it’s a Built Green home.
3. A Built Green home is systems engineered for greater efficiency and effectiveness.
4. Built Green means it’s a high-performance home.
5. A Built Green home is built to last.
6. In a Built Green home, more value is built in.
7. A Built Green home is a better-built home.

The first statement, which emphasized a Built Green home’s environmental edge, captured the previous advertising message: A Built Green home helps conserve our environment for generations to come. “Conserve at what cost?” one respondent asked. “I’m willing to pay more for better quality and higher efficiency, but not to be environmentally friendly,” said another. Responses like this help to explain why this statement received the least favorable response of any.

The second statement got a mixed response. Certification lends credibility to claims that green-built homes are constructed to rigorous standards, but respondents felt that certification had to be provided by an independent and dependable third party, such as a state or the federal government. Otherwise, they were skeptical of the reliability of the certification.

The third and fourth statements didn’t fare much better. “Systems-engineered” and “high-performance” homes, appealed to some men’s mechanical interests, but these terms were too technical for most respondents. “It’s too high tech for me,” said one respondent. “Sounds like a data center. It’s a home! It’s not warm and fuzzy enough.”

The fifth statement also got a poor response. While durability and easy maintenance were seen as valuable benefits, the “Built to Last” concept scored low because respondents questioned the aesthetics associated with manufactured durable materials. “Fake is a personal choice. I want something real. It’s nice to still have wood,” said one suspicious respondent.

The sixth statement got another mixed response. Built-in value was seen as a trade-off against greater floor area. And for many home buyers, bigger is better. “I want more house for the money,” one respondent said.

The positioning research revealed that the most effective way to talk about a Built Green home, which is universally understood to mean an environmentally friendly home, is to position it as a better-built home with benefits that go beyond the environment. Instead of talking about how many trees were saved by using alternative flooring, it was more effective to highlight the money that a homeowner could save through reduced maintenance, greater durability, and the use of energy-efficient and water-efficient construction and appliances. This economic savings, coupled with a home that featured improved comfort and better indoor air quality, made more sense to respondents in the study than simply emphasizing the environmental benefits of a Built Green home.

As one prospective homebuyer put it, “I expect a better-built home to be concerned about the environment. A lot of thought went into a better-built home. Potentially, ‘Built Green’ says ‘better quality.’”

The marketing communications program developed by Thomas Taber & Drazen consists of television commercials, print ads for consumers and

builders, a brochure, and a new Web site demonstrating the benefits of the 220-point checklist of features in 22 categories that go into a Built Green home.

“Our TV spots turn the tables by portraying a ‘do-gooder’ environmentalist as totally self-serving, and a pragmatic, quality-seeking home buyer as a ‘tree hugger’ because they bought Built Green homes,” explains Calomino. “They definitely get people’s attention.”

Raising Market Share

In fact, the television ad campaign was so successful that awareness of the Built Green program has increased 35% among recent new-home buyers since the campaign began three years ago. The percentage of buyers influenced to purchase a Built Green home increased from less than 6% to 21%. One in ten of those aware of Built Green said that it was “very much” a factor in their new-home purchase decision, double what it was three years ago, while another 19% said that it was “somewhat” a factor. More than 60% said that Built Green would be an important factor in their next new-home purchase.

Among recent new-home buyers, quality perceptions are significantly higher for a Built Green home than for the same home not built to Built Green standards on eight measures. These measures include energy efficiency, durability, and resale value. Most satisfying is that Built Green’s share of new-home sales increased from 10% in 2003 to 22% last year.

Fundamental to the success of any green building program is identifying and communicating the personal benefits that green-built homes offer to home buyers. Much as we all want to protect the environment, we demand to know “What’s in it for me and my family?” Without personal benefit, the concept of the green-built home just won’t sell.



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FOR MORE INFORMATION:

For more information on Built Green Colorado go to www.builtgreen.org.

For more information on Thomas Taber & Drazen, go to www.ttdusa.com.

For more information on the *Green Gauge Report*, go to www.windustry.com/conferences/november2002/nov2002_proceedings/plenary/greenguage2002.pdf#search=%22rope r%20green%20gauge%20report%202002%22.